

complaint

Mr E, on behalf of Company R, has complained about Markerstudy Insurance Company Limited. He isn't happy that it didn't settle a theft claim on his motor insurance policy and the way it dealt with the claim.

background

Mr E's van was being driven by one of his employee's in February 2015. While the employee was making a delivery the van was stolen outside the store. The theft was reported to the police and Markerstudy.

Markerstudy rejected the claim. It said that the driver acted fraudulently. This was because the driver first reported to the police that he had left the keys in the van when it was stolen. However, Company R told Markerstudy that the driver believed he may have been pickpocketed.

Mr E complained to this service and our adjudicator upheld his complaint. Although she was of the view that Markerstudy had dealt with the claim reasonably, she believed that it had acted harshly. This was because she didn't believe that there was any evidence that the driver or Company R had acted fraudulently.

As Markerstudy didn't agree the matter has been passed to me for a final decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Although I can see why Markerstudy may have reason to doubt the account provided by Company R's driver I agree with the adjudicator that there isn't any evidence of fraud. I will explain why.

I accept that Mr E's driver told the police that he left the keys in the van and this may have allowed access to the van. But the driver went on to say to Markerstudy that, upon reflection, he may have been pickpocketed before the van was stolen.

Both accounts are possible and plausible. While Markerstudy may find the first account, given to the police, more persuasive that doesn't mean that the second account is fraudulent. It is quite possible that the driver was in a state of shock when he reported the theft to the police and outlined what he thought was most likely to have happened.

However, the driver says that when he was calmer and thought about the theft he realised that he may have been pickpocketed. He offered a description of the potential thief and recalled using the keys before entering the store.

Markerstudy's own investigations confirmed that the driver did lock the van at other delivery stops. I can see that the store owner, from the time of the theft, made general comments about the theft. But these were unsubstantiated. I say this as he wasn't prepared to be named or provide a statement so I can't say that this evidence can be relied upon.

As such, I agree that Markerstudy doesn't have sufficient evidence to say that the driver or Company R has acted fraudulently. The driver has explained that he was flustered at the time of the theft which affected his reporting of the incident to the police. I think this is understandable given the stress he would have been under at that time.

Finally, I'm satisfied that Markerstudy didn't delay the theft claim. I say this as theft claims can be time consuming and difficult to finalise. So I can't see that Markerstudy has taken an unreasonable amount of time to consider the claim. However, I agree that it must have been stressful for the driver, Mr E and his company to be accused of fraud and I award £150 compensation.

my final decision

It follows that I uphold this complaint. I require Markerstudy Insurance Company Limited to reconsider the claim in line with the remaining terms and conditions of the policy. And pay £150 compensation.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr E on behalf of Company R to accept or reject my decision before 30 October 2015.

Colin Keegan
ombudsman